

## **Taxation**

The level of taxation in a country has a direct effect on the economy. If tax rates are low, people have more disposable income. In addition they have an incentive to work harder and earn more. And an incentive to invest. This is good for the economy. It is interesting to note that in every economy there is a level between 35% to 55% where tax collection will be the highest. While the tax rates may go up, collection will decline. This is why there it has been argued that the rates in India must be lowered.